

business performance. One memorable example he uses (among many) is Pfizer, whose stock lost ground from 1946 to 1949 and again from 1951 to 1956. “Performance-minded clients would have chewed the ears off an investment adviser who let them get caught with such a dog,” Phelps wrote. But investors who held on from 1942 to 1972 made 141 times their money.

Phelps showed that if you just looked at the annual financial figures for Pfizer — ignoring the news, the stock market, economic forecasts and all the rest — you would never have sold the stock. It was profitable throughout, generating good returns on equity, with earnings climbing fitfully but ever higher.

Pfizer was a good coffee-can stock.

An Extreme Coffee-Can Portfolio

Few things are harder to put up with than the annoyance of a good example.

— Mark Twain, *Pudd’nhead Wilson*

Just to give you an extreme example of this sort of thing, imagine sitting still for 80 years.

There is a portfolio that makes the coffee-can portfolio look impatient:

the Voya Corporate Leaders Trust Fund. It was the subject of a story written for Reuters by Ross Kerber. The headline was “Buy-and-Hold Fund Prospers with No New Bets in 80 Years.”

Now, I know you have no interest in holding stocks for 80 years. I don’t, either. In fact, 10 years is pushing it. I know that. Still, that doesn’t mean we can’t learn something from the story.

Here’s Kerber:

The Voya Corporate Leaders Trust Fund, now run by a unit of Voya Financial Inc bought equal amounts of stock in 30 major US corporations in 1935 and hasn’t picked a new stock since.

Talk about set it and forget it!